SECTION 2: MACROECONOMIC PROBLEMS

2.1 UNEMPLOYMENT

MARKING SCHEME

1994/CE/II/37 D	1998/CE/II/24 A	2003/CE/II/30 B (44%)	2008/CE/II/30 C (63%)	2017/DSE/I/27 B (76%)
1995/CE/II/37 A	1998/CE/II/28 A	2004/CE/II/33 A (58%)	2009/CE/II/32 C (62%)	2019/DSE/I/24 B
1996/CE/II/33 D	1999/CE/II/32 A	2005/CE/II/32 B (55%)	2010/CE/II/32 A (61%)	2019/DSE/I/39 D
1997/CE/II/26 B	2002/CE/II/29 B (49%)	2006/CE/II/30 C (60%)	2012/DSE/I/24 D (53%)	2020/DSE/I/24 C
1997/CE/II/55 B	2002/CE/II/31 A (15%)	2007/CE/II/30 C (33%)	2016/DSE/I/25 C (48%)	2021/DSE/I/25 D
2022/DSE/I/27 B	2023/DSE/I/27 B	2023/DSE/I/40 D	2024/DSE/II/26 A	

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1994/CE/I/10(a)(i)
- GNP ↓ / living standard ↓
- skill and experience of the unemployed ↓ / productivity ↓
- social problems as other losses to society, e.g. higher crime rate, family problems (2@, max: 4)

[Mark the **FIRST TWO** points only.]

1995/CE/I/6

The newly graduated job seekers increase the labour force. (1)

Unemployment rate (R) = [Unemployed population (U) ÷ Labour force (L)] × 100% (1)

if a very high proportion of the new job seekers can find a job, then the unemployment rate will decrease; (2)
and if quite a number of them cannot find a job, the unemployment rate will increase. (2)

OR

whether the unemployment rate is higher or lower depends on the relative change of the labour force and the unemployed population. (4)

OR

% change in U > % change in L ⇒ R ↑ (2)

% change in U < % change in L ⇒ R ↓ (2)

(max: 5)

2000/CE/I/7

The no. of unemployed increases at a slower <u>rate</u> than the increase in the labour force. (4)

[Show understanding of "unemployment rate = (no. of unemployed ÷ labour force) × 100%" without other elaboration - max: 1 mark]

2003/CE/I/6

The unemployment rate would increase, because (1)

an increase in the number of retired persons would not change the unemployed population, (1)

but would reduce the size of labour force / employed population. (1)

Since unemployment rate = unemployed population ÷ labour force

OR

= unemployed population ÷ (employed population + unemployed population), (1)

the unemployment rate would increase.

[Mere mentioning of the formula of unemployment rate - max: 1 mark]

2004/CE/I/7
- productive resources will be left idle / output level will be lower
- political disorder / social unrest
- loss of skills (2@, max: 4)
[Mark the **FIRST TWO** points only.]

2006/CE/I/9(c)
Unemployment rate = (unemployed population ÷ labour force) × 100% (1)
The unemployed population increased, and (1)
both the labour force and the unemployed population increased at the same rate / percentage. (2)

2007/CE/I/8(b)(i)
Total labour force increases. (1)
Unemployed population increases. (1)
(Given total employment remains unchanged,)
increase in total labour force = increase in unemployed population
OR % increase in the unemployed population > % increase in the labour force (1)
As a result, unemployment rate increases. (1)

2012/DSE/II/6(a)
- loss of output
- loss of human capital
- political unrest (1@, max: 2)
[Mark the **FIRST TWO** points only.]

2013/DSE/II/11(b)(iii)
The effect on the unemployment rate is uncertain.
The size of the labour force would increase as more people originally outside the labour force are induced to look for jobs. But the total number of unemployed may also increase as some of these new workers may fail to get a job. The resulting rate of unemployment depends on the percentage increase in the unemployed population relative to that in the labour force. (3)

2015/DSE/II/5
Unemployment rate = (number of unemployed ÷ total labour force) × 100%
Since both total labour force and number of unemployed drop by an equal amount, the percentage decrease in the unemployed population is greater than the percentage decrease in the total labour force, implying a reduction in the unemployment rate. (4)

2016/DSE/II/6
(a) The unemployment rate = [200 000 / (3 800 000 + 200 000)] × 100% = 5% (2)

(b) - loss of output
- loss of human capital
- political and social unrest (1@, max: 3)
[Mark the **FIRST THREE** points only.]

2018/DSE/II/5(b)
Unemployment rate = (number of unemployed people / the total labour force) × 100%
The number of unemployed people will not change while the labour force increases as the retired staff is not in the labour force originally. The unemployment rate will drop. (4)

2020/DSE/II/3

3a Recession (1 mark)

b. Decrease of inflation rate
Lower RGDP growth rate
Decrease of consumption and investment confidence (2 marks)

c. Loss of human capital
Loss of real output
Social unrest (2 marks)

2022DSE/II/11aii

(ii) — On the one hand, many companies allowed their employees to work from home. On the other hand, high risks of infection during the pandemic discouraged people from shopping in brick-and-mortar stores and from dining out. The result was a fall in demand for workers in the retail and food services industry.
— Disruption of air travels due to the pandemic reduced demand for accommodations and thus workers in that industry.
— Public administration as well as social and personal services were much less affected by the pandemic and so was the demand for workers in this industry.
— Any other relevant point

@ 2
Max: 2

2023/DSE/II/6

No. Unemployment rate = (unemployed population / labour force) × 100%. (2)
Despite the decrease in the size of HK's labour force, the unemployment rate would fall (or remain unchanged) if the percentage decrease in the unemployed population was greater than (or equal to) that in the labour force. (2)

2024/DSE/II/12(b)

(b) Unemployment rate = (unemployed population / labour force) × 100%. As some unemployed young adults enrol in the full-time training programmes of those football academies, the number of unemployed and the labour force would decrease by the same magnitude. The percentage decrease in the unemployed population would be bigger than that in the labour force. As a result, the unemployment rate decreases. (4)